Question 1: Solution

Futuna Ltd

Category 1

Futuna has an unavoidable obligation to the holders of the preference shares to redeem the shares (ie deliver cash) at the holder's option.

(1 mark)

In addition, the preference shares have a fixed dividend, ie a contractual obligation to deliver cash.

(1 mark)

IAS 32 *Financial Instruments: Presentation* defines a financial liability as a contractual obligation to deliver cash or another financial asset to another entity or a contractual obligation to exchange financial instruments with another on unfavourable terms.

(1 mark)

Therefore, the preference shares meet the definition of a financial liability and should be presented as such on the statement of financial position, rather than within equity as share capital.

(1 mark)

The dividends paid in respect of these preference shares are currently presented as distributions of equity and are therefore deducted from retained earnings. They should instead be presented as an interest expense from borrowings in the financing category of the statement of profit or loss.

(1 mark)

Category 2

The preference shares are redeemable at the option of Futuna and offer no fixed rate of dividends. There is therefore no obligation to transfer financial assets in the future.

(1 mark)

As there is no obligation, the preference shares do not meet the definition of a liability and are therefore classified as equity.

(1 mark)

The dividend has therefore also been correctly presented as a distribution of equity and no adjustment is required.

(1 mark)

Total marks (8 marks)

Question 2: Solution

Tahiti plc

The convertible bonds are compound financial instruments that contain both a liability and an equity element.

(1 mark)

IAS 32 *Financial Instruments: Presentation* requires the component parts of the instrument to be classified separately.

(1 mark)

The liability component is measured at the present value of the cash flows which Tahiti would be obliged to make if the instrument were a non-convertible loan.

(1 mark)

The discount rate used to calculate the present value is the interest rate applicable to a similar non-convertible instrument, which in this case is 7%.

(1 mark)

Annual interest payment (200,000 x £100 x 5%) = £1m

(1 mark)

	£'000	**£'000**	
Proceeds (200,000 □ £100)		20,000	
Financial liability:			
Interest payable 30 Sep 20X5 (£1m x 0.935)	935		
Interest payable 30 Sep 20X6 (£1m x 0.873)	873		**(1 mark)**
Interest payable 30 Sep 20X7	816		
Interest and principal payable 30 Sep 20X8 (£1m + £20m) x 0.763)	16,023		**(1 mark)**
Present value of future cash flows (liability)		18,647	
Equity component (£20,000k - £18,647k)		1,353	**(1 mark)**

The liability component should be classified as measured at amortised cost inaccordance with IFRS 9 *Financial Instruments*. £18,647 should be reallocated from equity to liabilities.

(1 mark)

	£'000
Initial at 1 October 20X4	18,647
Interest expense (7% x £18,647)	1,305
Interest paid	(1,000)
Carrying amount at 30 Sep 20X5	18,952

(2 marks)

As the bonds were recognised as equity, the interest paid has been recognised as a dividend and deducted from equity (retained earnings). This should be reallocated and £1,000k should be debited against the liability.

(1 mark)

An interest expense on borrowings of £1.305m should be recognisedin the financing category of the statement of profit or loss and credited (added) to the liability.

(1 mark)

The equity component is not remeasured at the period end and is presented as a ‘reserve for convertible debt’ in the equity section of the statement of financial position.

(1 mark)

Total marks (14 marks)

Question 3: Solution

Barrow Ltd

Journal entries to account for the share repurchase proposal

Step 1 – Consider legality

Distributable profits + proceeds of new issue = £3,890k + (200k x £4) = £4,690k (ie purchase is legal)

(1 mark)

Step 2 – Record the purchase

	£'000
Share capital (400k x £0.50)	200
Premium on purchase (400k x £3.50)	1,400
Purchase of shares	1,600

(1 mark)

		£'000	**£'000**
Dr	Share capital	200	
Dr	Premium on purchase	1,400	
	Cr Suspense account		1,600
Being correction to purchase of shares			

(1 mark)

Step 3 – Record any new issue

	£'000
Share capital (200k x £0.50)	100
Share premium (200k x £3.50)	700
Proceeds	800

(1 mark)

		£'000	**£'000**
Dr	Suspense account	800	
	Cr Share capital		100
	Cr Share premium		700
Being correction to issue of shares			

(1 mark)

Step 4 – Eliminate any premium on purchase

Original premium on purchased shares = 400k x £0.70 = £280k

(1 mark)

Balance in share premium = £500k + £700k = £1,200k (ie original premium is lower)

(1 mark)

		£'000	£'000
Dr	Share premium	280	
Dr	Retained earnings	1,120	
	Cr Premium on purchase		1,400

Being elimination of premium on purchase using share premium and distributable profits

(1 mark)

Step 5 – Replace the nominal value of shares purchased

	£'000
Purchase of shares	200 Dr
Issue of shares	800 Cr
Net increase	600 Cr

(1 mark)

Note: No further adjustments are required as the nominal value of shares has been replaced.

Journal entries to account for the rights issue

Number of new shares issued ((£2,100,000 - £200,000 + £100,000)/£0.50 x1/4)	1,000,000shares
Nominal value of new shares (1,000,000 x £0.50)	£500,000
Proceeds of rights issue (1,000,000 x £3.20)	£3,200,000
Share premium on issue of new shares (£3,200,000 - £500,000)	£2,700,000

Number of shares and nominal value (1 mark)

Proceeds and share premium (1 mark)

		£'000	£'000
Dr	Suspense account	3,200	
	Cr Share capital		500
	Cr Share premium		2,700

Being correction to issue of shares

(1 mark)

Advise the directors

The balance on retained earnings is not necessarily distributable in full as any unrealised amounts need tobe removed.

(1 mark)

An income or gain is realised if it arises from a transaction in which qualifying consideration is received, ie cash, amounts to be settled in cash, or an asset that's readily convertible to cash.

(1 mark)

Almost all losses are realised losses (although a revaluation decrease that cancels out a previous unrealised revaluation increase is not realised).

(1 mark)

Adjustment to the opening retained earnings balance is needed to take account of profits, which are transferred to retained earnings, and the elimination of premium on purchase, which decreases retained earnings, in the year.

(1 mark)

The excess depreciation on a revalued asset is considered realised regardless of whether Barrow makes a transfer or not. The excess depreciation is therefore added back in, arriving at distributable profits.

(1 mark)

The fair value gain in respect of the derivative is realised as the derivative is readily convertible to cash. As this gain is already included in profit for the year, no adjustment is needed.

(1 mark)

The gain on the exchange of assets is not realised as the machine tools are not readily convertible to cash. An adjustment is needed to remove the gain included in profit.

(1 mark)

Distributable profits are therefore calculated as:

	£'000
Retained earnings at 1 January 20X6, all of which was distributable	3,890
Profit for the year	1,100
Share repurchase	(1,120)
Excess depreciation on revalued assets (£240k - £100k)	140
Unrealised gain on exchange	(50)
Distributable profits at 31 December 20X6	3,960

Profit and share repurchase (1 mark)

Excess depreciation and unrealised gain (1 mark)

The total distributable profit is not necessarily the amount that can be paid out as a dividend as the directors have a duty to protect the assets of the company and to ensure it can pay its debts as they fall due.

(1 mark)

Total marks (22 marks)

Question 4: Solution

PetsRUs Enterprises plc

Total distributable profits of PetsRUs at 31 December 20X7

	£'000
Distributable profits within retained earnings at 31 December 20X6	48,622
Profit for the year ended 31 December 20X7, prior to adjusting for unrealised profits	16,290
Dividends paid (£1,200,000 + £2,400,000)	(3,600)
Excess depreciation at 31 December 20X6 (£5,500,000 - £2,600,000)	2,900
Excess depreciation for the year ended 31 December 20X7 (£548,000 - £526,000)	22
Release of revaluation surplus on disposal of related asset	330
Fair value gain on investment property (£3,600,000 - £3,000,000)	(600)
Gain on exchange with non-qualifying consideration (£170,000 - £130,000)	(40)
Distributable profits at 31 December 20X7	63,924

Dividends paid (1 mark)

Excess depreciation on revalued assets (2 marks)

Release of revaluation surplus (1 mark)

Fair value gain on investment property (1 mark)

Gain on exchange with non-qualifying consideration (1 mark)

Total marks (6 marks)

Question 5: Solution

Willow plc

Investment in shares of Tree plc

Investments in equity shares are normally classified as measured at fair value through profit or loss as they don't pass the solely payments of principal and interest test.

(1 mark)

However, as the shares are not held for trading (as Willow holds them with the intention of increasing its investment in future years), an election may be made to classify the shares as measured at fair value through other comprehensive income.

(1 mark)

Investment in debentures issued by Bay plc

Investments in debentures result in payments that are solely payments of principal and interest.

(1 mark)

Willow intends to sell the debentures in the future to realise cash and is therefore managing the debentures under a 'held to collect and sell' model.

(1 mark)

The investment in debentures should therefore be classified as measured at fair value through other comprehensive income.

(1 mark)

Total marks (5 marks)

Question 6: Solution

Arch Windows plc

Loan to supplier

The loan to supplier should be classified as a non-current financial asset and not a trade receivable and so must be reclassified.

(1 mark)

		£'000	£'000
Dr	Loan receivable	560	
	Cr Trade receivables		560

Being correction to record loan receivable

(1 mark)

The loan provides returns that are solely payments of principal and interest, and Arch intends to collect the final repayment. The loan is therefore classified as subsequently measured at amortised cost.

(2 marks)

Interest income for the six months to 31 December 20X3 must be accrued and presented in the investing category of the statement of profit or loss.

(1 mark)

Interest income = 6/12 months x 7.48% x £560,000 = £21,000

(1 mark)

		£'000	£'000
Dr	Loan receivable	21	
	Cr SPL – interest income		21

Being recognition of interest income for the 6 months ended 31 December 20X3

(1 mark)

Investment in shares – Triangle and Hexagon

Since Arch has elected to measure both of these investments at FVTOCI. the transaction costs are added to the initial measurement of the investments

Investment in Triangle = (200,000 x £4) + £8,000 = £808,000

Investment in Hexagon = (100,000 x £3.50) + £4,000 = £354,000

(2 marks)

		£'000	£'000
Dr	Investments in shares	1,162	
	Cr Other payables		1,162

Being recognition of investments in shares

(1 mark)

Subsequent measurement

At 31 December 20X3, the financial asset must be remeasured to fair value with any change recognised in the statement of othercomprehensive income.

(1 mark)

Triangle – subsequent measurement

	£'000
Initial measurement	808
Fair value at 31 December 20X3 (200,000 x £3.80)	760
Fair value loss	(48)

(1 mark)

		£'000	**£'000**
Dr	OCI – loss on equity instruments measured at FVTOCI	48	
	Cr Investment in shares		48
Being fair value loss on investment in shares			

(1 mark)

Hexagon – subsequent measurement

	£'000
Initial measurement	354
Fair value at 31 December 20X3 (100,000 x £3.54)	354
Fair value gain/loss	Nil

(1 mark)

Note: No adjustment is made in respect of Hexagon as the carrying amount is unchanged at 31 December 20X3.

Option

The option is an in-the-money, non-hedge derivative and should be classified as a financial asset measured at fair value through profit or loss.

(1 mark)

At 31 December 20X3, the option should be measured at its fair value of £50,000. The transaction costs have been incorrectlycapitalised as a derivative asset when they should have been written off to profit or loss, presented in the investing category, when incurredand therefore the net increase of £45,000 is recorded.

(1 mark)

		£'000	**£'000**
Dr	Derivative asset	45	
	Cr SPL – net gain on derivative asset (investing category)		45
Being to record fair value of option			

(2 marks)

Investment in debentures

The investment in debentures is a financial asset that provide returns that are solely payments of principal and interest and are managed under a 'held to collect and sell' model. They are therefore classified as subsequently measured at fair value through other comprehensive income.

(2 marks)

Interest income is calculated each year by applying the amortised cost method and should be presented in the investing category of the statement of profit or loss and added to the financial asset.

(1 mark)

Interest received is deducted from the financial asset.

(1 mark)

At 31 December 20X3, the debentures are remeasured to fair value with any gain or loss recognised in OCI and presented in a FVTOCI remeasurement reserve in equity.

(1 mark)

	Opening	**Interest income (6.8%)**	**Interest received (4% x £3m)**	**Closing**	**Adjustment**	**Fair value**
	£'000	**£'000**	**£'000**	**£'000**	**£'000**	**£'000**
y/e 31 Dec 20X2	2,400 (3,000 x £1 x80%)	163	(120)	2,443	157	2,600
y/e 31 Dec 20X3	2,600	166 (W)	(120)	2,646	(146)	2,500

y/e 31 December 20X2 (3 marks)

y/e 31 December 20X3 (2 mark)

Working

	£'000
Amortised cost closing at 31 December 20X2	2,443
Interest income @ 6.8% (2,443 x 6.8%)	166

(1 mark)

		£'000	**£'000**
Dr	Investment in debentures	166	
Cr	SPL – interest income		166

Being interest income on debentures measured at FVTOCI

(1 mark)

		£'000	**£'000**
Dr	OCI – loss on debt instruments measured at FVTOCI	146	
Cr	Investment in debentures		146

Being subsequent measurement of debentures measured at FVTOCI

(1 mark)

Total marks (31 marks)

Question 7: Solution

Gemini Ltd

Equity investment

The investment in Libra is not 'held for trading' as the shares have been purchased to ensure continuity of supply.

(1 mark)

Therefore, Gemini can elect to classify these shares at fair value through other comprehensive income as preferred by the directors.

(1 mark)

The investment should initially be measured at its fair value and the transaction cost should be capitalised as part of the financial asset.

(1 mark)

The investment should therefore be initially measured as £459,000 ((100,000 x £4.50) + £9,000) and the transaction costs that have been charged to the statement of profit or loss should instead be capitalised as part of the cost of the investment.

Initial measurement (1 mark)

Transaction costs (1 mark)

The investment should be remeasured to its fair value at 30 September 20X9. The bid (sale) price should be used to measure the fair value. Sales commissions should be ignored.

(2 marks)

At 30 September 20X9, the 100,000 Libra shares should be measured at £8 each (£800,000), giving a gain of £341,000 (£800,000 - £459,000), which should be recognised in other comprehensive income as a gain on equity investments at FVTOCI.

(1 mark)

Investment in debentures

The investment provides returns that are solely payments of principal and interest and are managed under a ‘held to collect and sell’ model as Gemini plans to sell the debentures when it needs the funds for alternative purposes.

(1 mark)

They should therefore be classified as a financial asset measured at fair value through other comprehensive income.

(1 mark)

As a financial asset measured at FVOCI, the debentures would have initially been measured at their fair value plus the transaction costs of £2,000.

(1 mark)

Opening financial asset at 1 October X7 = £500k + £2k transaction cost = £502k

(1 mark)

Investments in debt measured at FVTOCI are measured using the amortised cost method, with an adjustment at each financial year end to remeasured the asset to fair value.

(1 mark)

In both years, interest income is calculated by applying the effective interest rate to the prior year closing balance before taking account of the fair value adjustment and added to the investment.

(1 mark)

The interest received each year would be deducted from the investment.

(1 mark)

In both 20X8 and 20X9, at the year end, the debentures are subsequently remeasured to fair value with gains recognised in OCI as gains on debt instruments measured as FVTOCI and presented in a FVTOCI remeasurement reserve in equity.

(1 mark)

	Opening	Interest income (6.7%)	Interest Received (5%)	Closing	Adjustment	Fair value
	£'000	**£'000**	**£'000**	**£'000**	**£'000**	**£'000**
y/e 30 September 20X8	502	34	(25)	511	9	520
y/e 30 September 20X9	520	34 (W)	(25)	529	1	530

Year end 30 September 20X8 (3 marks)

Year end 30 September 20X9 (2 mark)

Working

	£'000
Amortised cost closing at 30 September 20X8	511
Interest income @ 6.7% (511 x 6.7%)	34

(1 mark)

Total marks (22 marks)

Question 8: Solution

Gordon plc

Requirement 1

Loan to Taylor

At 31 December 20X4, there has been a significant increase in credit risk (stage 2) in the loan made to Taylor.

(1 mark)

Lifetime expected credit losses should be recognised as a loss allowance at 31 December 20X4 measured as the probability-weighted present value of the expected cash shortfall from the investment.

(1 mark)

Lifetime expected credit losses are compared to the opening loss allowances and the movements in the balances are accounted for at 31 December 20X4, with the expense presented in the investing category of the statement of profit or loss.

(1 mark)

The carrying amounts of the financial assets are presented net of loss allowances on the statement of financial position.

(1 mark)

Investment in debentures

For the investment in debentures, there is objective evidence of impairment at 31 December 20X4 as interest payments havebeen suspended and this asset has moved to stage 3 of the credit risk approach.

(1 mark)

Therefore, the investment in debentures is credit impaired and so lifetime expected credit losses must also be recognised as a loss allowance for this asset at 31 December 20X4.

(1 mark)

Requirement 2

Loan to Taylor Ltd

Present value of cash shortfall on principal at 31 December 20X4 = (£4,100,000 - £2,000,000)/1.0493^6 = £1,573,000

(1 mark)

	£'000
Lifetime expected credit losses at 31 December 20X4 (80% x £1,573,000)	1,258
Loss allowance at 31 December 20X3	(75)
Increase in loss allowance	1,183

Lifetime expected credit losses (1 mark)

Increase in loss allowance (1 mark)

		£'000	£'000
Dr	SPL – impairment loss	1,183	
	Cr Loss allowance		1,183

Being increase in loss allowance due to significant increase in credit risk

(1 mark)

Investment in debentures

Nominal interest = 6,000,000 x £1 x 4% = £240,000

(1 mark)

	£'000
Present value of cash shortfall for the year ended 31 December 20X5 (£240/1.0838^1)	221
Present value of cash shortfall for the year ended 31 December 20X6 (£240k/1.0838^2)	204
Present value of cash shortfall for the year ended 31 December 20X7 (£240k/1.0838^3)	189
Present value of cash shortfall on interest	614

PV cash shortfall 20X5 and 20X6 (2 marks)

PV cash shortfall 20X7 (1 mark)

Present value of cash shortfall on principal = (£6,000,000 - £3,000,000)/1.0838^3 = £2,357,000

(1 mark)

Note: The present value of cash shortfalls must be calculated separately forinterest and principal as there is a 25% probability applied to the principal, whereas there is a 100% probability applied to the interest.

	£'000
Lifetime expected credit losses at 31 December 20X4 (£614,000 + [25% x £2,357,000])	1,203
Loss allowance at 31 December 20X3	(500)
Increase in loss allowance	703

Lifetime expected credit losses (2 marks)

Increase in loss allowance (1 mark)

		£'000	£'000
Dr	SPL – impairment loss	703	
	Cr Loss allowance		703

Being increase in loss allowance due to financial asset being credit impaired

(1 mark)

Total marks (19 marks)

Question 9: Solution

Dara Ltd

Initial recognition and measurement

The investment in bonds provides returns that are solely payments of principal plus interest and Dara intends to manage the investment on a 'collect and sell' model.

(1 mark)

Therefore, the bonds should be classified as measured at fair value through other comprehensive income.

(1 mark)

Financial assets classified as measured at FVTOCI are initially measured at the transaction cost, in this case the amount paid.

(1 mark)

The investment should initially be measured at £800,000 (1,000,000 x £1 x 80%)

(1 mark)

The initial loss allowance of £12,000 would have been recognised in the investing category of the statement of profit or loss and in an accumulated impairment account in other comprehensive income - retained earnings.

(1 mark)

Subsequent measurement

Debt instruments classified as measured at FVTOCI are subsequently measured at amortised cost, then remeasured to fair value at each reporting date.

(1 mark)

Interest income on the bonds is calculated by applying the effectiverate of interest to the opening balance.

(1 mark)

Under the amortised cost model, the actual interest receipt reduces thefinancial asset, resulting in a closing carrying amount.

(1 mark)

The bonds are remeasured to their fair value at 31 December 20X2, with the gain recognised in OCI as a gain on remeasurement of debt at FVTOCI and presented in the FVTOCI remeasurement reserve in equity

Gain (1 mark)

Recognised in OCI (1 mark)

	Opening	Interest income (10.4%)	Interest received (4%)	Closing	Adjustment	Fair value
y/e 31 December20X2	800	83	(40)	843	32	875

Interest income (1 mark)

Interest received (1 mark)

Closing (1 mark)

Adjustment (1 mark)

Impairment of financial asset

The notification that the interest due at 31 December 20X2 will not be received is objective evidence of impairment (stage 3).

(1 mark)

Therefore, the investment in bonds is credit impaired and so lifetime expected credit losses must be recognised for this asset at 31 December 20X2.

(1 mark)

Weighted average of possible outcomes

		£'000
Best	(£843,000 - £700,000) x 18%	26
Medium	(£843,000 - £450,000) x 12%	47
Worst	(£843,000- £nil) x 5%	42
Loss allowance		115

(2 marks)

Lifetime expected credit losses of £115,000 are measured as the probability-weighted present value of cash shortfalls on interest and on principal.

(1 mark)

Lifetime expected credit losses are compared to the opening loss allowance of £12,000 and the increase of £103,000 must be accounted for at 31 December 20X2.

(1 mark)

Because the bonds are an investment in debt measured at fair value through other comprehensive income, the increase in the loss allowance is an expense in profit or loss and an accumulated impairment reserve in other comprehensive income (retained arnings).

(1 mark)

The bonds are presented on the statement of financial position at their fair value of £875,000 and the loss allowance is not deducted.

(1 mark)

Total marks (22 marks)

Question 10: Solution

Patel plc

Option

As the option is a non-hedging derivative, it should be classified as fair value through profit or loss.

(1 mark)

As the option has expired unexercised, the derivative must be removed and a loss of £25,000 recognised though profit or loss, presented in the investing category.

(1 mark)

Investment in shares of Qzee Ltd

As the shares are measured at fair value through other comprehensive income, prior to derecognition, the investment in shares must be revalued and the fair value gain of £78k recognised in the FVTOCI remeasurement reserve in other comprehensive income.

(1 mark)

	£'000
Carrying amount	314
Fair value at 15 June 20X7 (110,000 x £3.56)	392
Fair value gain	78

(1 mark)

The net disposal proceeds are £390,600 ((110,000 x £3.56) - £1,000), therefore on disposal, a loss of

£1,000, which is equal to the selling costs, is recorded in the investing category of the statement of profit or loss. The net proceeds are removedfrom other operating income and instead the asset is derecognised.

Loss on disposal (1 mark)

Derecognition (1 mark)

The net amount recognised in other comprehensive income and accumulated in the FVTOCI remeasurement reserve of £84,000 (£6,000 + £78,000) is transferred to retained earnings at the date of disposal.

(1 mark)

Investment in shares of Octagon plc

As Patel holds the shares for trading, they must be measured at fair value through profit or loss. Prior to derecognition, the investment in Octagon must be revalued and the fair value loss of £383,000 recognised in the investing category of the statement of profit or loss.

(1 mark)

	£'000
Fair value at 31 January 20X7 (450,000 x £5.85)	2,633
Fair value at 28 January 20X8 (450,000 x £5)	2,250
Fair value loss	383

(1 mark)

A loss on disposal of £23,000, equal to the selling costs, is recorded in the investing category of the statement of profit or loss, the investment inshares of £2,250,000 is derecognised and a correction is required to remove net proceeds of £2,227,000 from the suspense account.

Loss on disposal (1 mark)

Derecognition (1 mark)

Investment in shares of Fury Ltd

Patel has sold the shares to the bank and therefore the contractual rights to receive cash from the shares have been transferred. The shares are only derecognised if substantially all of the risks and rewards associated with holding the shares are also transferred.

(1 mark)

Patel retains exposure to the variability in cash flows arising from the shares because the call option allows the company to buy the shares back in 2 years' time, and so it can access any increase in the value of the shares during that time and any dividends after that time.

(1 mark)

The put option held by the bank means that the bank can require the company to repurchase the shares, and so Patel is exposed to any fall in the value of the shares.

(1 mark)

The shares in Fury should not be derecognised and a financial liability equal to the proceeds received from the bank should be recognised.

(1 mark)

Total marks (15 marks)

Question 11: Solution

Esme plc

Issued 6% bonds

The bonds areclassified as measured at amortised cost since they are not to be classified as fair value through profit or loss,.

(1 mark)

Issue costs on financial liabilities measured at amortised cost should be deducted from the initial liability rather than expensed, and so an adjustment of £100,000 is required toreduce the bonds balance and reduce the interest expense.

(1 mark)

The amortised cost method requires the interest expense to be calculated by applying the effective interest rate to the adjusted opening balance and this increases the bonds balance.

(1 mark)

The interest paid, based on the nominal value of the bonds and 6% coupon rate is deducted from the bonds balance

(1 mark)

Year ended	Opening balance £'000	Effective interest (9.67%) £'000	Nominal interest £'000	Closing balance £'000
31 December 20X3	1,820	176	(120)	1,876

Effective interest (1 mark)

Intertest paid (1 mark)

Carrying amount at 31 Dec X3 (1 mark)

The interest paid of £120,000 was incorrectly recorded as an interest expense, so an adjustment of £56,000 (£176,000 - £120,000) is required to increase the interest expense and the carrying amount of the bonds balance. The interest expense should be presented in the financing category of the statement of profit or loss.

(1 mark)

Forward contract

A forward contract to be settled net in cash and not held for hedging purposes is accounted for at fair value through profit or loss. The fair value of the contract at 31 December 20X3 will determine whether the forward contract is a financial asset or financial liability.

(1 mark)

The value of the contract at the year end is:

	£'000
Market price of forward contract at 31 December 20X3	150
Esme's forward price	160
Liability	(10)

(1 mark)

A financial liability of £10,000 is therefore recognised with a corresponding expense of £10,000 recognised in the financing category of the statement of profit or loss.

(1 mark)

Existing 5.5% bonds

Esme has redeemed 2,000,000 of the 5,000,000 bonds in issue on 31 December 20X3. The bonds are not classified as measured at fair value through profit or loss and therefore must be accounted for using the amortised cost method up to the date of partial redemption.

(1 mark)

An interest expense is calculated on the carrying amount using the effective interest rate and should be added to the bonds balance and recognised in the financing category of the statement of profit or loss.

(1 mark)

The interest paid has been incorrectly recorded as an interest expense, a net increase of £53,000 (£328,000 -£275,000) must be adjusted to increase both the interest expense and the bonds balance.

(1 mark)

Year ended	Opening balance £'000	Effective interest (6.38%) £'000	Nominal interest £'000	Closing balance £'000
31 December 20X3	5,141	328	(275)	5,194

(1 mark)

Redeeming the bonds discharges the liability and so bonds are derecognised at 31 December 20X3. The amount paid on redemption is not recognised as an interest expense. Instead, a gain on redemption of £38,000 is recognised in the financing catgory of the statement of profit or loss.

(1 mark)

	£,000
Payment (2,000,000 x £1.02)	2,040
Carrying amount ([2,000,000/5,000,000] x £5,194,000)	2,078
Gain on redemption	38

(1 mark)

Total marks (14 marks)

Question 12: Solution

Ruffle Ltd

Why disclosures relating to risk are useful to users of financial statements

Financial instrument transactions can have a significant impact on the financial statements and therefore on the position and performance of an entity for the year.

(1 mark)

Users need to understand the nature and extent of risks associated with financial instruments and how they are managed in order to better understand the risks that an entity is exposed to at the reporting date and how financial instruments may impact on the future prospects of the entity.

(1 mark)

Explanation of IFRS 7 risks

Credit risk – the risk that the counter party to a financial instrument will cause loss for Ruffle by failing to discharge its obligations.

(1 mark)

An example of credit risk might arise in relation to the loans provided to customers. These loans might result in a credit loss to Ruffle as the customers may not be able to repay interest and principal on their loans as they fall due.

(1 mark)

Liquidity risk – the risk that Ruffle will not be able meet its obligations as they fall due.

(1 mark)

For example, if Ruffle was unable to pay the interest due on its debentures over the 3 years to their redemption in 20X8 and/or was not able to repay the principal as it falls due in 20X8.

(1 mark)

Market risk – the risk that the fair value of a financial instrument will fluctuate due to changes in market conditions.

(1 mark)

For example, Ruffle being exposed to changes in the value of the investments in equity shares it holds, which will have an impact on the profits of Ruffle since these shares are held for trading and any fluctuations in fair value will be recorded in profit or loss.

(1 mark)

Total marks (8 marks)